

KUMARAGURU COLLEGE OF TECHNOLOGY

24ADT015-FINANCE, ECONOMICS AND MARKETING

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IND AS-07 – Statement of Cash Flows

Statement of Cash Flows:

IND AS-7 prescribes **how companies must prepare and present the Statement of Cash Flows**. Its purpose is to show **how cash enters and leaves a business**, helping assess liquidity, solvency, and overall financial health.

1. Objectives of IND AS-07

- To provide information about **cash inflows and outflows** during a period.
- To help users evaluate:
 - Ability to generate cash
 - Ability to repay debts and pay dividends
 - Reasons for difference between profit & cash
 - Impact of investments and financing decisions on cash

2. Classification of Cash Flows

According to IND AS-7, cash flows must be classified into **three activities**:

A. Operating Activities

Activities that form the **core business operations** of a company.

Examples:

- Cash received from customers
- Cash paid to suppliers
- Wages & salaries
- Operating expenses
- Income tax paid
- Cash received from royalties, commissions (if operating in nature)



IND AS-7 allows two methods:

1. Direct Method

Shows *actual* cash inflows and outflows:

Cash received from customers

– Cash paid to suppliers

– Cash operating expenses

= Cash from operations

2. Indirect Method

Starts from **Net Profit** and adjusts for non-cash and working-capital changes:

Net Profit

+ Depreciation (non-cash)

+ Loss on asset sale –

Gain on asset sale

± Changes in inventory, receivables, payables

= Operating Cash Flow

Most companies use the **indirect method**.

B. Investing Activities

Cash flows relating to **long-term assets** and **investments**.

Includes:

- Purchase or sale of **PPE** (property, plant, equipment)
- Purchase/sale of investments
- Loans given/received
- Interest or dividends received (depending on policy)

C. Financing Activities

Cash flows relating to **capital structure**.

Includes:

- Borrowing and repayment of loans
- Issue of shares or debentures
- Dividend paid
- Lease liability payments (as per IND-AS 116)

3. Cash & Cash Equivalents

According to IND AS-7, these include:

- Cash on hand
- Demand deposits
- Short-term, highly liquid investments
(3-month maturity or less)

4. Key Adjustments Required Under IND AS-7

- Non-cash items (depreciation, amortization)
- Unrealized FX gains/losses
- Non-operating profit/loss (on sale of assets)
- Working capital changes (inventory, receivables, payables)
- Reclassification between activities based on the nature of business

IND AS-116 – Leases

IND AS-116 provides guidelines for accounting for leases. It introduces a unified model for lessees based on the concept of **Right-of-Use (ROU) Asset** and **Lease Liability**. This standard replaces the earlier IND AS-17.

1. Scope

IND AS 116 Overview

- Ind AS 116 sets out the principles for the recognition, measurement, presentation, and disclosure of leases.
- The objective is to ensure that lessees and lessors provide relevant information in a manner that faithfully represents those transactions.
- Ind AS 116 will replace current Ind AS 17 Leases, from its proposed effective date 1 April 2019.
- An entity shall apply this Standard consistently to contracts with similar characteristics and in similar circumstances.

IND AS-116 applies to all lease contracts, except:

- Biological assets
- Exploration and evaluation resources
- Service concession arrangements
- Licenses of intellectual property
- Leases of intangible assets

2. Key Concepts

A. Lease

A contract that transfers the right to use a specific asset for a certain period in exchange for payment.

B. Right-of-Use (ROU) Asset

An asset representing the lessee's right to use an underlying leased asset.

C. Lease Liability

The present value of future lease payments the lessee is obligated to make.

3. Lessee Accounting

Under IND AS-116, **all leases are treated similarly**, except for short-term and lowvalue leases.

Initial Recognition

The lessee must recognize:

1. **ROU Asset**, measured at:

- Lease liability amount
- Lease payments made at or before commencement
- Initial direct costs
- Estimated restoration or dismantling costs

2. **Lease Liability**, measured at:

Present value of future lease payments using the interest rate implicit in the lease or incremental borrowing rate.

4. Subsequent Measurement

A. ROU Asset

- Depreciated over the lease term or useful life, whichever is shorter
- Subject to impairment testing

B. Lease Liability

- Increased by interest

- Decreased by lease payments
- Remeasured if lease terms or rates change

5. Exemptions

A lessee may opt not to apply full IND AS-116 for:

1. Short-term leases (12 months or less)
2. Low-value assets (example: laptops, office equipment)

Expenses for these are recognized on a straight-line basis.

6. Lessor Accounting

Lessor accounting remains similar to previous standards:

A. Finance Lease

- Lessor derecognizes asset
- Recognizes lease receivable

B. Operating Lease

- Lessor retains asset
- Recognizes rental income on straight-line basis

7. Derecognition of Leases

A lease (or part of it) is derecognized when:

- The asset is returned
- The lease contract expires
- A modification substantially changes the original terms

8. Impact on IND AS-07 (Cash Flow Statement)

Lease-related cash flows are classified under different activities:

Operating Activities

- Interest portion of lease payments

Financing Activities

- Principal portion of lease liability payments

Investing Activities

- Not generally applicable (unless ROU asset is sold or sub-leased)

Differences Between IND AS-07 and IND AS-116

Feature	IND AS-07	IND AS-116
Purpose	Reporting cash flows	Accounting for leases
Focus	Classification of cash inflows/outflows	Recognition of ROU assets and lease liabilities
Output	Statement of Cash Flows Liability)	Balance Sheet (ROU asset &
Link	Lease payments split into operating and financing cash flows	Affects cash flow classification in IND AS-07